

Market Stability

The main question we ask here is

Who was the biggest company in this space 5 years/10 years back and where are they now?

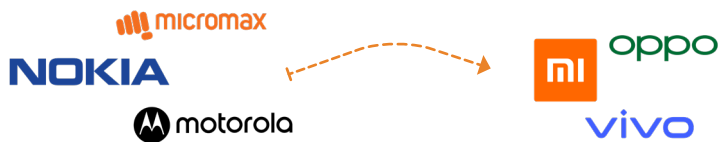
For Example:



Marico and Dabur have been the market leaders in the hair oil industry for the past 15 years. So, we can say that the hair oil market is quite stable as it is likely that market leaders will maintain their positions in the future.

Whereas:

Micromax, Motorola, and Nokia were market leaders in the mobile industry 10 years back. Then came a wave of Chinese companies like Oppo, Vivo, Redmi, etc which gained the majority of the market. As a result we can say that the mobile phone market is relatively unstable as compared to hair oil as leaders keep on changing.



Here we cannot say that the leaders today will surely be leaders 10-15 years down the line so this is a classic example of an unstable market from which we will prefer to stay away as retail investors.